



Texas HHSC Contract & Fiscal Compliance Monitoring Checklist

For agencies holding an HHSC Community Care Services contract (PAS, CDS, CLASS, CMPAS, DAHS, DBMD, and related programs).

How often this happens: Contract and fiscal compliance monitoring doesn't run on a fixed yearly cycle. Under 40 TAC §49.411, HHSC monitors at least once during a provisional contract, then periodically after that on a schedule HHSC sets. Written notice arrives at least 14 days before a scheduled monitoring, listing the specific records to have ready.

Screening & Background Checks

- ☐ Written policy for pre-employment/pre-contracting and monthly screening of employees and subcontractors against the federal and state List of Excluded Individuals/Entities (LEIE)
- ☐ Evidence of LEIE screening completed during the monitoring period
- ☐ Evidence of background checks for unlicensed attendants or employees hired during the monitoring period (where applicable)
- ☐ Evidence of CPR and first aid certification for attendants/employees employed more than 90 days (where applicable)

Staff & Payroll Records

- ☐ Current employee roster
- ☐ Process for notifying personal attendants of the required minimum wage (CDS)
- ☐ Payroll records supporting wages paid to attendants who served sampled individuals
- ☐ Evidence staff meet applicable age requirements (where applicable)
- ☐ Evidence staff hold a high school diploma or equivalent (where applicable)
- ☐ Evidence staff don't share a household with the person served (where applicable)
- ☐ Evidence staff serving a sampled individual don't have a disqualifying relationship conflict (where applicable)

Client & Service Records

- ☐ Client charts — referrals/authorizations, evaluations, service plans, attendant orientations, practitioner statements
- ☐ Documentation that individuals/LARs were informed, orally and in writing, how to report complaints or allegations of abuse, neglect, or exploitation before service began and every 12 months after
- ☐ Complaint log(s)

☐ Negative billing processed prior to receipt of the client list

Program-Specific Documents (where applicable)

- ☐ Entity's Assumed Name Certificate, if operating as a sole proprietor or general partnership under a different name
- ☐ Form 3701 (Preliminary Findings) and Form 3724 (Statement of Licensing Violations and Plan of Correction)
- ☐ Vendor list and selection justification for medical supplies and adaptive aids
- ☐ Specifications, bids, and invoices for adaptive aids and minor home modifications
- ☐ Invoices and documentation for dental services
- ☐ Current facility floor plan

This checklist reflects commonly requested items for an HHSC Community Care Services contract and fiscal compliance monitoring, drawn from HHSC's published monitoring rules and typical monitoring documentation requests (Forms 5988 and 2033). Which items apply depends on your specific contract type — HHSC may request additional documentation not listed here. Confirm current requirements at hhs.texas.gov before your monitoring. | Prepared by Ryzolve — ryzolve.com